

REAL ESTATE SENTIMENT INDEX

3rd Quarter 2024

About Real Estate Sentiment Index (RESI)

With effect from 1Q 2020, National University of Singapore (NUS) Real Estate (NUS+RE), which collectively represents Department of Real Estate (DRE) and Institute of Real Estate and Urban Studies (IREUS) at NUS, will independently publish the Real Estate Sentiment Index (RESI) to provide an alternative measure of the private real estate market performance. The data collection, analysis and reporting will be independently conducted by NUS+RE. *[Note: The index jointly developed by NUS Real Estate and the Real Estate Developers' Association of Singapore (REDAS) was first introduced in 2010.]*

The quarterly structured questionnaire survey is based on the sentiments of senior executives of real estate firms. RESI measures the perceptions and expectations of real estate development and market conditions in Singapore. RESI comprises a Current Sentiment Index and a Future Sentiment Index, tracking changes in sentiments over the past and the next 6 months respectively, and a Composite Sentiment Index which is the derived indicator for the current overall market sentiment. RESI scores range from 0 to 10, reflecting the extent of pessimism or optimism of the survey respondents. A “net balance percentage” approach is adopted to derive the scores for key determinants of the real estate market sentiment.



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3rd Quarter

2024

“The market sentiment rebounded strongly in Q3 2024, after 6 consecutive quarters at the neutral and below the neutral sentiment line. The positive performance in suburban residential, hotel/service apartments, and suburban retail areas prop up the general market sentiment. However, global economic uncertainty remains the top risk concern of developers.”

Professor Sing Tien Foo

How would you compare the conditions of the overall Singapore real estate market (commercial, residential, hospitality etc.) over the time periods indicated?

Current Sentiment Index#:

The Current Sentiment Index increased from 4.8 in 2Q 2024 to 5.9 in 3Q 2024.

Future Sentiment Index#:

The Future Sentiment Index from 5.1 in 2Q 2024 to 5.8 in 3Q 2024.

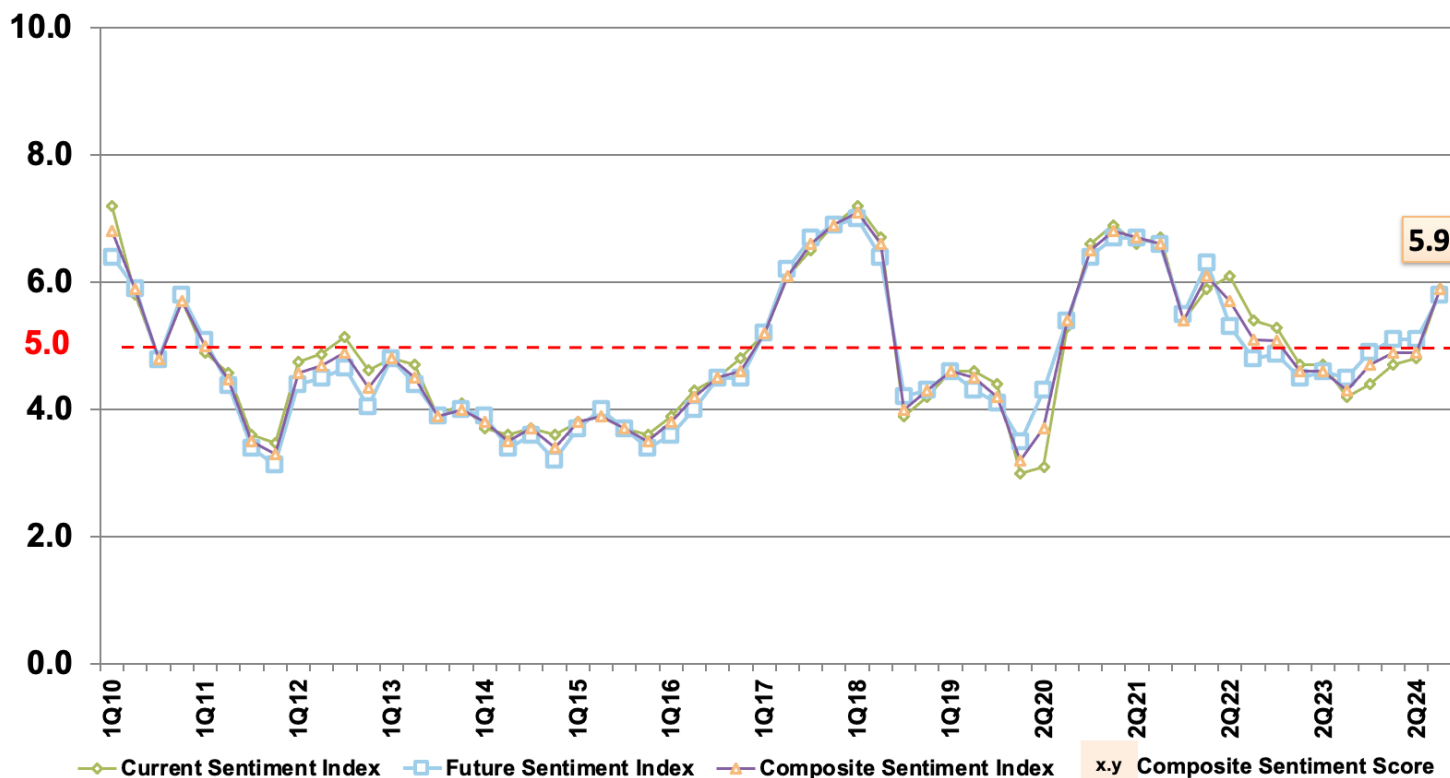
Composite Sentiment Index#:

The Composite Sentiment Index score increased from 4.9 in 2Q 2024 to 5.9 in 3Q 2024.

Declining interest rates and better economic outlooks could have been among the factors that drove up the market sentiment despite the uncertainty in the geopolitical situation.

Exhibit 1: Real Estate Sentiment Index (1Q 2010 – 3Q 2024)

**Composite Sentiment Index
(1Q 2010 - 3Q 2024)**



Source: NUS Real Estate

How would you rate the general performance (rental, price, occupancy, purchases etc.) of the sectors over the time periods shown?

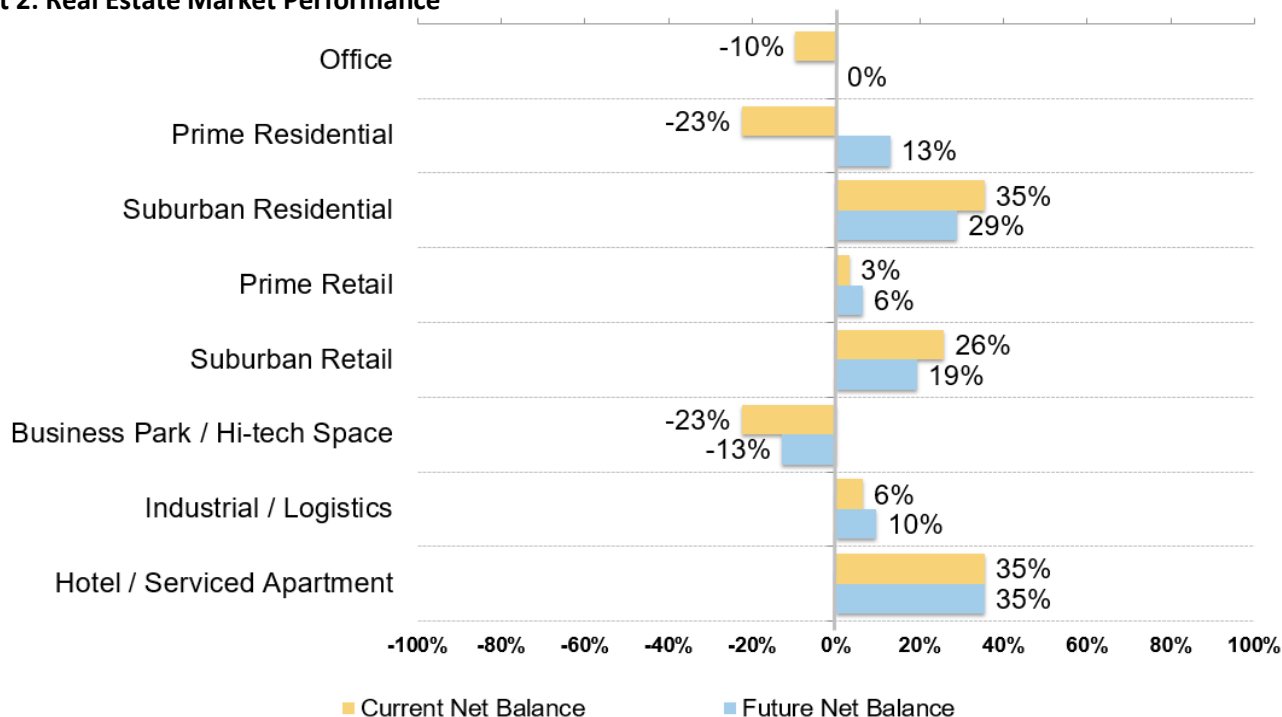
Current net balance

The current net balances of most sectors have increased from last quarter, except for Office, Prime Residential, and Business Park/Hi-tech Spaces. The Hotel/Serviced Apartment sector stayed strong with the current net balance of +35%, whereas the Suburban Residential sector increased from -4% in the previous quarter to +35%. Office increased from -19% last quarter to -10%, while Prime Residential and Business Park/Hi-tech Spaces both had the lowest current net balance at -23% in 3Q 2024, increasing from -42% in 2Q 2024.

Future net balance

The future net balances of all sectors improved from 2Q 2024, except for Business Park/Hi-tech Spaces and Office, which have future net balances of -13% and 0% respectively. Hotel/Serviced Apartment has the highest future net balance of +35%. Suburban Residential increased significantly from -4% to +29% this quarter. Office was the only sector with a neutral future net balance of 0%, increasing drastically from -38% in 2Q 2024. Business Park/Hi-tech Spaces ranked last with a future net balance of -13%, though it improved from -23% last quarter.

Exhibit 2: Real Estate Market Performance



Source: NUS Real Estate

"The economy is very uncertain in this VUCA [Volatility, Uncertainty, Complexity, and Ambiguity] world, especially with the pending US election and on-going geopolitical tensions."

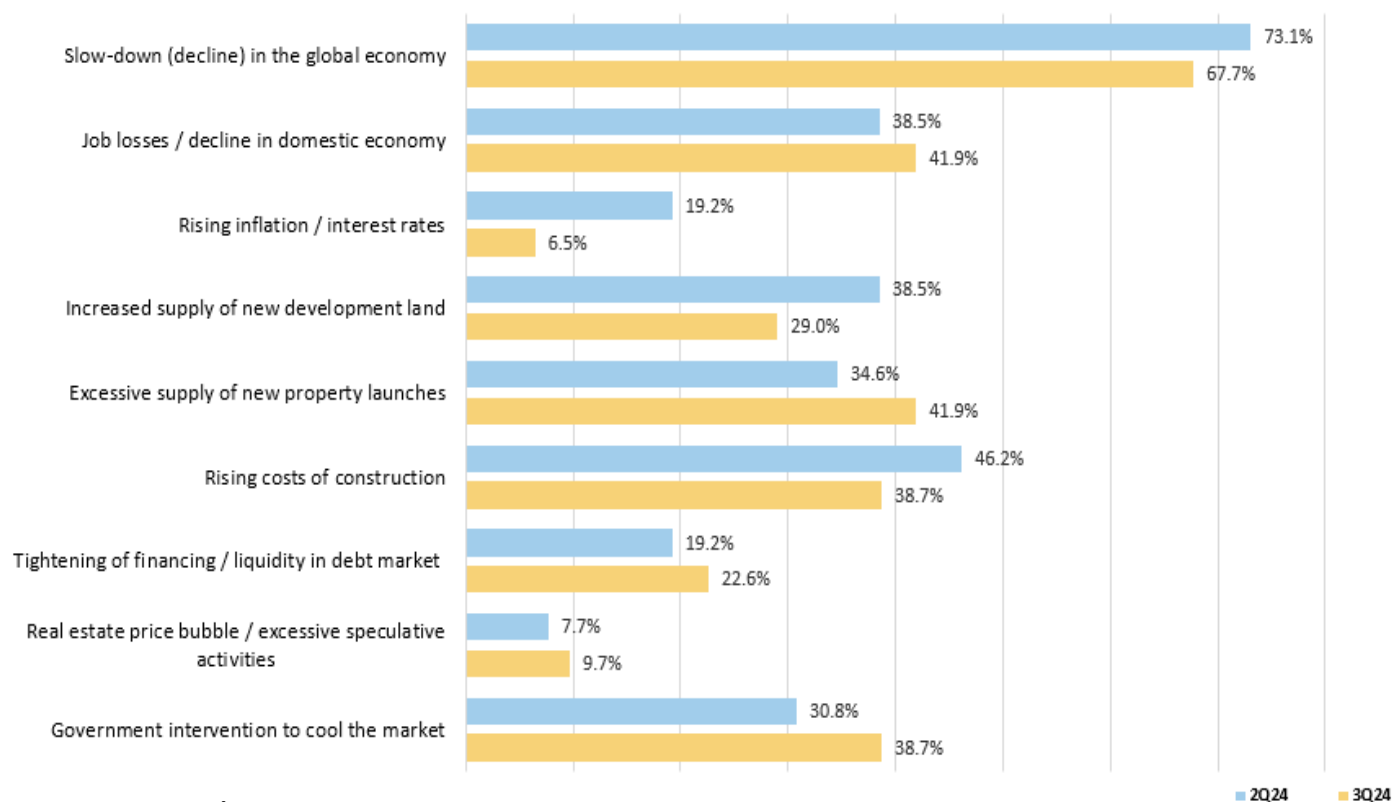
- Comments from Survey Respondents

Do you foresee any potential risks that may adversely impact on market sentiment in the next 6 months?

Slow-down (decline) in the global economy remained the top potential risk factor that may adversely impact sentiments over the next six months, with 67.7% of respondents indicating so in the 3Q 2024 survey, decreasing slightly from 73.1% in 2Q 2024. Job losses/decline in the domestic economy and excessive supply of new property launches ranked second at 41.9%, increasing from 38.5% and 34.6%, respectively.

Rising construction costs and government intervention to cool the market both garnered concerns from 38.7% of respondents. 29.0% raised concerns regarding the increased supply of new development land, decreasing from 38.5% last quarter, followed by the tightening of financing/liquidity in the debt market at 22.6%, which decreased from 47.1% in 1Q 2024. 9.7% of respondents raised concerns regarding the risk of a real estate price bubble, while rising inflation/ interest rates ranked the least, with only 6.5% of respondents expressing concerns.

Exhibit 3: Potential Risks



Source: NUS Real Estate

What are your expectations regarding the number of new residential units to be launched in the next six months?

In 3Q 2024, 29.4% of developers expected a substantially higher number of units to be launched in the next six months, an increase of 16.9 percentage points from the previous quarter. 35.3% expected a moderately higher number of units to be launched. Similarly, 35.3% expected the number of unit launches to remain relatively constant, a slight increase from last quarter's 31.3%.

What are your expectations on the pricing of new residential launches in the next six months?

35.3% of the developers expected unit prices of new launches in the next six months to be moderately higher, increasing slightly from 25.0% in 2Q 2023. On the other hand, 52.9% expected new launch prices to remain at the same price level, decreasing from 75.0% last quarter. 11.8% expected unit prices to decrease.

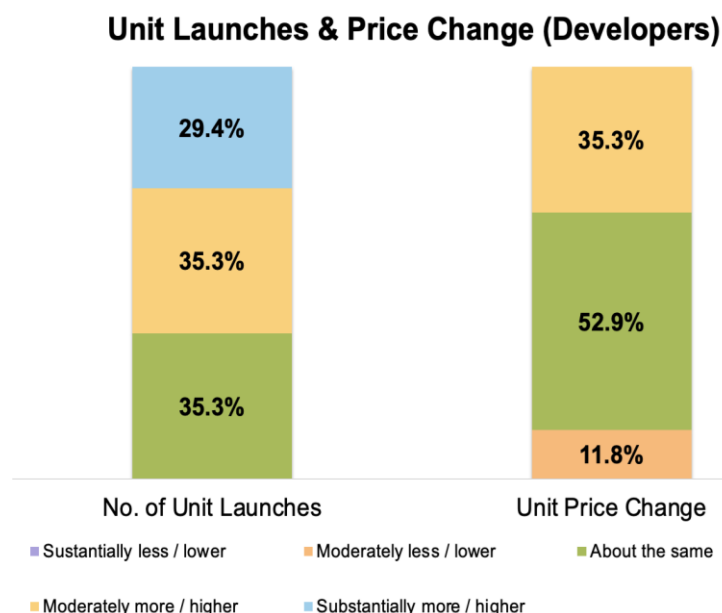
What is your level of concern on development cost over the next six months?

Labour costs were the top concern identified by 82.3% of the developers. 76.5% of the developers were concerned about building material costs, while 35.3% of the developers were very concerned about land costs. Costs of financing and professional services were ranked as the least worrying costs, with 47.1% expressing no concern regarding the two.

"There will be 6 projects going to launch in 4Q 2024 as long school holiday and festival seasons are around the corner. Developers may have to launch with competitive pricing strategies to achieve better launch results. We can expect that more new launches will be [released in] the upcoming 4Q 2024."

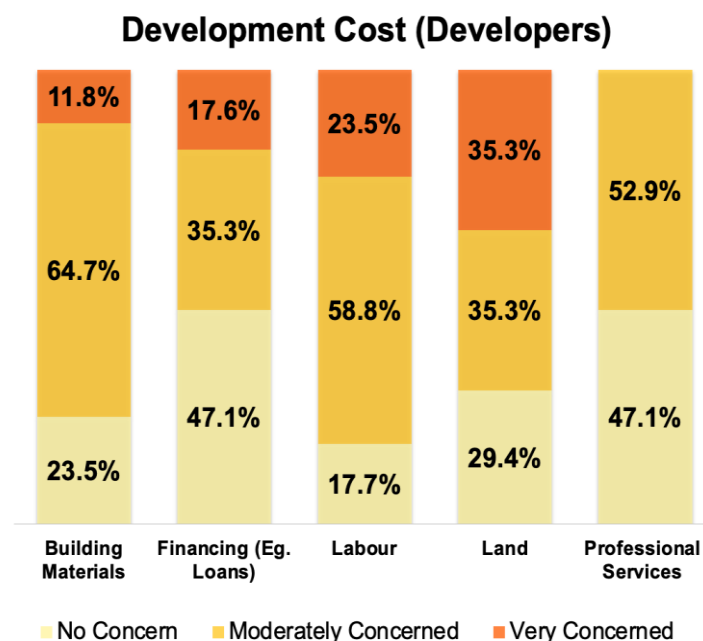
- Comments from Survey Respondents

Exhibit 4: Residential Launches & Prices



Source: NUS Real Estate

Exhibit 5: Level of concern relating to development costs



Source: NUS Real Estate

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Explanatory Note

The RESI is an objective and comprehensive measurement specifically gauging the confidence of senior executives in the Singapore real estate and development industry. The survey measures respondents' perceptions and expectations of current and future real estate market conditions. Respondents assess relative market conditions between now and in the past six months, as well as their expectations for the next six months. A standard format questionnaire is mailed out electronically to industry experts. Respondents include developers, consultants, financial institutions, professional firms, and service providers. The survey is thus representative of the overall Singapore real estate industry. The survey is conducted quarterly, in March, June, September, and December.

A "net balance percentage" is used to indicate the overall direction of change in sentiment. This is the difference between the proportion of respondents who have selected the positive options ("better" and "increase") and the proportion of respondents who have selected the negative options ("worse" and "decrease"). A "+" sign in the scores denotes a net positive sentiment (optimism), and a "-" sign indicates a net negative sentiment (pessimism). The derived net balance scores are not weighted by the size of the respondents' business.

About NUS Real Estate (NUS+RE)

The NUS Real Estate (NUS+RE) collectively represents Department of Real Estate (DRE) and Institute of Real Estate and Urban Studies (IREUS), at NUS.

Department of Real Estate (DRE) established in 1969 is part of the School of Design and Environment. With the mission to develop leaders and advance knowledge for the global real estate industry, DRE offers broad-based real estate education covering the areas of real estate investment and finance, urban planning and urban economics. DRE has strong links with the local real estate industry and public agencies, and it has been in the business of producing industry leaders for the real estate industry in Singapore and beyond for more than 50 years.

'Institute of Real Estate Studies (IRES)' was established on 1 June 2006 as a university-level research institute with the mission to advance multidisciplinary research in real estate and urban fields. The Institute has been renamed as the **Institute of Real Estate and Urban Studies (IREUS)** with effect from 9 March 2018. The adding of 'Urban' to the institute's name appropriately reflects the realities of the Institute's multidisciplinary nature. It underscores the importance of staying relevant to our changing urban environment. The Institute promotes multidisciplinary collaboration and high-impact research on broad real estate issues in relation to, amongst others, finance, economics, urban development, wealth accumulation, demography, and environmental policies.

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